Karzai knew of, and didn't obstruct, the presence of Baloch separatist leaders (such as Brahamdagh Bugti, who had a vast network of militant supporters in Balochistan) on Afghan soil. Pakistan had been protesting against Kabul's support to such elements ever since an insurrection broke out in Balochistan in 2004. This aspect of Karzai's covert approach towards Pakistan was potent enough to address any concerns that partisans might have harboured about Karzai gravitating towards Islamabad. These covert assets, in the wake of the Kabul embassy bombing, could have been utilised (if they were not already being put to use) to target Pakistan. While it is unclear, or at least not provable, that India (and Afghanistan) succeeded in achieving such objectives, the reasons for India to continue supporting Karzai persisted, and even multiplied. Karzai's attraction among partisans such as Narayanan was reflected in Musharraf's mirroring but misplaced belief (demonstrating anti-India partisanship in Pakistani policy circles) that Karzai, despite being a Pashtun, favoured the Panjsheris (mostly Tajik) and was thus alienating the Pashtuns in south and east Afghanistan.[117]

As talks about reconciling with the Taliban began in 2008, and were concretised in 2010, Karzai's relations with the West reached an all time low. Worried that the US and the UK were plotting against him (a claim corroborated by Narayanan), Karzai had begun reaching out to various insurgents such as Hekmatyar as well as some Afghan Taliban leaders such as Mullah Zaeef, Mullah Muttawakil, Arsullah Rahmani (even though the Taliban, especially Zaeef, had little confidence in Karzai's true intentions).[118] Uneasy with Kabul's links with such elements, Narayanan claimed (in conversations with US officials in 2008) that a Pashtun-only solution may not be possible in Afghanistan, and advocated political space for non-Pashtun leaders (despite his desire to rekindle the Kabuliwallah connection and focus on Karzai).[119] However, by 2010 (after the second year of the Obama administration), with the reconciliation process having begun in earnest, such concerns became acute. Karzai was now genuinely worried that the US may replace him with someone else. Aware that Karzai's success was critical for the future of Afghanistan and India's continuing presence therein, both Narayanan and Menon were willing to part ways with the US. According to Narayanan, this was not the moment for India 'to pull the rug from under his